IWM RUSSELL 2000 SCANNER

MARKET CLOSE

August 17, 2026 | 03:39 PM ET

2 setups identified | 0 A-Grade | 1 B-Grade | 1 C-Grade

Grade Summary

A - Breakout Setup (0)	B - Strong Setup (1)	C - Watch List (1)
	MRCY	LUNR

All Setups

Gr	Ticker	Company	Theme	Price	Chg %	Cap	Float	RS/SPY	52W Hi	Catalyst
B	MRCY	Mercury Systems	Defense Electroni	$113.19	+1.9%	$6.8B	56M	+16.3	88%	Current move driven by
C	LUNR	Intuitive Machin	Space Economy	$20.21	+6.3%	$3.2B	132M	-44.8	43%	

MRCY

Mercury Systems Inc

$113.19

+1.86%

RS vs SPY: +16.3%

B STRONG SETUP

$6.8B Cap | 56M Float

Aerospace & Defense | Theme: Defense Electronics | 52W Hi: 88% | Base Tight: 1.05 | Vol: 1.88x | RS/SPY: +16.3% | Above 20MA: YES | EARNINGS IN 1D

SETUP METRICS

Price	**$113.19**
Day Change	**+1.86%**
Mkt Cap	**$6.81B**
Float	**56M sh**
RS vs SPY	**+16.3%**
52W Hi Prox	**88%**
Base Tight	**1.05**
Vol vs Avg	**1.88x**
RS Line Hi	**no**
Above 50MA	**-**
Fwd P/E	**-**
Short %	**-**
Days to Cover	**-**
Inst. Own	**- (data lag)**

ANALYSIS

CATALYST / TODAY'S DRIVER

Current move driven by pre-earnings positioning into tomorrow's (Aug 18) print, with defense sector strength providing tailwind. Forward catalyst path: earnings print tomorrow is the immediate binary event; beyond that, Q4 FY2026 guidance on federal defense budget allocations and potential contract awards tied to rising geopolitical tensions (Taiwan, Eastern Europe) over next 90-120 days.

BUSINESS & POSITION

Mercury Systems designs and manufactures mission-critical processing subsystems for radar, EW, and C4I systems across defense and intelligence platforms. The company holds category leadership in embedded secure processing for air and missile defense, benefiting from rising DoD modernization budgets.

FACTOR & THEME

Core exposure to defense spending acceleration driven by geopolitical instability and multi-year DoD budget increases. Secondary beneficiary of AI-enabled defense systems requiring advanced processing-though not a pure-play AI infrastructure name, Mercury's products integrate into autonomous platforms.

BREAKOUT SIGNAL

Close above $113.19 on vol >1.88x of 20d avg

INSTITUTIONAL

Volume surge to 1.88x on tight pre-earnings coil suggests institutional positioning ahead of the print. No recent insider buying (0 transactions last 60d) is neutral but not disqualifying for defense contractors where insider activity is often muted by regulatory constraints. Institutional ownership data unavailable from this feed-recommend cross-referencing 13F filings for major fund positions.

EARNINGS

EARNINGS IN 1D

EARNINGS CONTEXT

Earnings print Aug 18. Consensus estimates not provided in dataset. Mercury has historically exhibited volatile quarter-to-quarter performance tied to lumpy defense contract timing; beat/miss history and guidance credibility are critical to post-earnings follow-through. The 1.05 base_tight reading into the print signals very low pre-earnings volatility-unusual for defense contractors and possibly indicating leaked positive sentiment or institutional front-running.

KEY RISK

Thesis invalid on a miss-and-lower tomorrow (Aug 18), or on a close back below $108.50 (the 20-day MA and base support). Defense stocks are particularly sensitive to guidance cuts tied to federal budget uncertainty or contract delays-any pushout of FY2027 revenue visibility would trigger distribution.

ANALYSIS

Textbook VCP coil (base_tight 1.05) into earnings with strong sector tailwind (Industrials +1.1% vs SPY) and positive 12-week RS (+16.3). The strongest disconfirming evidence: RS line is NOT at new high despite being 88% to 52w high, suggesting this is a recovery rally off prior lows rather than institutional leadership confirmation. Earnings tomorrow is a binary event with no durable forward catalyst path beyond the print itself-post-earnings, the next catalyst window is 90+ days out (contract awards are unpredictable). This is a pre-earnings positioning trade, not a durable breakout with incremental-buyer fuel. Downgrade from A to B due to missing rs_line_new_high and immediate binary risk. Conviction: Medium.

Signal: Close above $113.19 on vol >1.88x of 20d avg

Vol vs Avg: 1.88x

MRCY - Technical Chart